



United States
Attorney's Office
Eastern District of Missouri



Texas Businessman Admits \$1.9 Million COVID Test Kit Fraud

Thursday, November 20, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Missouri

ST. LOUIS – A Texas businessman on Thursday admitted fraudulently obtaining \$1.9 million from Medicare for COVID-19 test kits.

Companies owned by Rashid Naqvi, 52, of the Houston area, obtained \$1,974,479 through the scheme, which lasted from roughly March 2023 to at least October of 2023. As part of his guilty plea in U.S. District Court in St. Louis to one count of wire fraud, Naqvi admitted fraudulently submitting thousands of claims to Medicare for the kits.

Naqvi operated two laboratories that he used to submit claims to Medicare: Elite Diagnostics Inc. in the Eastern District of Missouri and Astro Diagnostics Inc. in Texas. Naqvi obtained patients' Medicare numbers and identifiers without their knowledge or consent by paying \$488,435 in kickbacks to co-conspirators. He used that information to submit claims to Medicare for test kits that were then sent to patients who had not requested them. Naqvi's labs billed Medicare a total of 22,898 times for the kits during the scheme. Neither Naqvi nor his labs had any direct contact or relationship with the Medicare patients who were the subject of the claims. Some of the reimbursement claims were for patients who had died before receiving the kits.

Naqvi continued his scheme even after patients called to say that they had not requested the test kits. During subsequent audits by Medicare investigators, Naqvi tried to conceal his scheme by producing false records to investigators, including documents which falsely represented that the Medicare patients authorized the kits. He also hid the kickbacks from investigators.

Naqvi is scheduled to be sentenced on April 7, 2026. Wire fraud is punishable by up to 20 years in prison, a fine of up to \$250,000 or both prison and a fine.

The FBI and the U.S. Department of Health and Human Services Office of Inspector General investigated the case. Assistant U.S. Attorney Derek Wiseman is prosecuting the case.

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